AI EQUITY RESEARCH October 12, 2026

Apple Inc.

AAPL Technology

RATING

Overweight

PRICE

$340.97

TARGET

$341.68

MARKET CAP

$5,007.95B

P/E (FWD)

42.9x

P/B RATIO

51.79x

ROE

151.9%

DIV. YIELD

0.40%

52W RANGE

$243.42 - $345.34

Investment Thesis

> Apple Inc. demonstrated steady financial growth with revenue rising from $365.8 billion in 2021A to $416.2 billion in 2025A, reflecting a historical CAGR of 3.3% over this period. Profitability remained robust, as evidenced by an increasing EBITDA margin from 33.7% in 2021A to 34.7% in 2025A and a contribution margin reaching 46.9% in 2025A. The company also strengthened its balance sheet, reducing net debt from $101.6 billion in 2021A to $76.4 billion in 2025A.

Company Overview

Apple Inc. is a leading global technology company headquartered in Cupertino, California, operating within the consumer electronics sector. Established in 1976, Apple has built a robust business model centered on the design, manufacture, and sale of a wide array of electronic devices and digital services. Its core hardware products include the iPhone smartphone, Mac computers, and iPad tablets, complemented by a diverse portfolio of wearables and accessories such as AirPods, Apple Watch, Apple TV, Beats products, and HomePod speakers.

Beyond hardware, Apple has developed a comprehensive ecosystem of services that enhance customer engagement and drive recurring revenue. The company offers support and cloud services, as well as a suite of digital platforms, most notably the App Store. The App Store serves as a central marketplace for applications and digital content, including music, e-books, games, videos, and podcasts. Apple also generates revenue from advertising through its own platforms and third-party licensing agreements.

Subscription-based services are a significant part of Apple’s strategy, with offerings such as Apple Music, Apple TV+, Apple Arcade, Apple Fitness+, and Apple News+ catering to a broad range of consumer interests. Financial services, including the Apple Card and Apple Pay, further diversify the company’s revenue streams. Apple also licenses its intellectual property and serves a wide customer base, ranging from individual consumers to businesses and institutions in education, corporate, and government sectors.

Apple's products reach customers through a multi-channel distribution network, which includes its own retail stores and online platforms, direct sales teams, and partnerships with mobile carriers, wholesalers, retailers, and authorized resellers.

In terms of recent financial performance, Apple reported revenue of **$416.2 billion** in 2025A, up from **$391.0 billion** in 2024A and **$383.3 billion** in 2023A. The company's historical revenue CAGR from 2021A to 2025A was **3.3%**. Contribution margin improved from **41.8%** in 2021A to **46.9%** in 2025A, while EBITDA rose from **$123.1 billion** in 2021A to **$144.4 billion** in 2025A, with EBITDA margin increasing from **33.7%** to **34.7%** over the same period. Apple's EPS reached 7.49 in 2025A. The company also maintained a strong balance sheet, with cash and cash equivalents of **$35.9 billion** and net debt of **$76.4 billion** in 2025A.

Apple's market position is reinforced by its integrated ecosystem, strong brand loyalty, and consistent financial performance, making it a dominant force in the global technology and consumer electronics industry.

Investment Overview

Apple Inc. delivered solid financial performance in recent years, with revenue rising from **$365.8 billion** in 2021A to **$416.2 billion** in 2025A. This represents a historical revenue CAGR of **3.3%** from 2021A to 2025A. After a slight revenue decline in 2023A, Apple rebounded with growth of **2.0%** in 2024A and **6.4%** in 2025A. Contribution margin improved steadily, reaching **46.9%** in 2025A, up from **41.8%** in 2021A, reflecting ongoing operational efficiencies and a favorable shift toward higher-margin services and products.

EBITDA also grew consistently, from **$123.1 billion** in 2021A to **$144.4 billion** in 2025A, with EBITDA margin expanding from **33.7%** to **34.7%** over the same period. Earnings per share (EPS) increased from $5.67 in 2021A to $7.49 in 2025A, demonstrating Apple's ability to translate top-line growth and margin expansion into shareholder value. The company's net debt position improved, declining from **$101.6 billion** in 2021A to **$76.4 billion** in 2025A, supported by robust cash generation.

Looking ahead, Apple's own forecasts anticipate continued momentum. Revenue is expected to reach **$481.7 billion** by 2028E, with contribution margin rising to **49.9%**. EBITDA is projected to grow to **$215.8 billion** in 2028E, and EBITDA margin is forecast to expand to **44.8%**. EPS is estimated to increase to $8.93 in 2028E. These forecasts reflect Apple's ongoing focus on expanding its ecosystem, growing its services and subscription businesses, and maintaining innovation across hardware and software.

> **Overall, Apple's recent results highlight resilient demand, operational discipline, and a strong outlook driven by both product and services growth. The company's improving**

> margins and earnings, alongside a strengthening balance sheet, position it well for continued value creation.

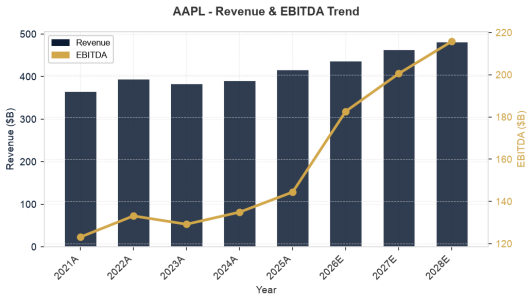
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	**$416.16B**
EBITDA (2025A)	**$144.43B**
Revenue Growth (2025A)	**6.4%**



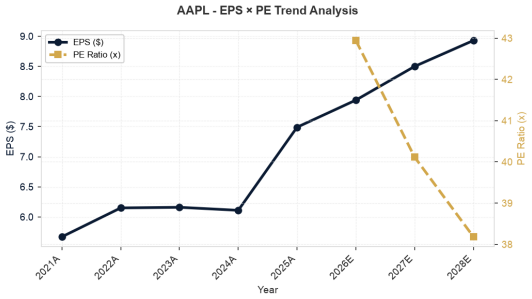
Source: FMP / Company Filings; Forecasts: AI4Finance Estimates

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	**7.49**
Forward P/E (2026E)	**42.9x**



Source: FMP / Company Filings; Forecasts: AI4Finance Estimates

Valuation Analysis

Apple Inc. (AAPL) currently demonstrates robust financial performance, with 2025A revenue reaching **$416.2 billion** and EBITDA of **$144.4 billion**. The company's EBITDA margin has steadily improved, rising from **33.7%** in 2021A to **34.7%** in 2025A, reflecting operational efficiency and strong cost management. Over the historical period from 2021A to 2025A, Apple achieved a revenue CAGR of **3.3%**. EPS has also grown, reaching 7.49 in 2025A.

In terms of valuation, Apple's EV/EBITDA multiple has expanded in recent years. For 2025A, Apple trades at an EV/EBITDA of 26.97, which is higher than both Cisco (CSCO) at 19.11 and

Microsoft (MSFT) at 23.60 for the same year. This premium suggests that investors are willing to pay more for Apple's earnings relative to these peers, likely due to Apple's strong brand, diversified revenue streams, and consistent profitability.

Looking ahead, Apple's financial forecasts indicate continued growth. Revenue is expected to rise to **$436.97 billion** in 2026E, **$463.19 billion** in 2027E, and **$481.71 billion** in 2028E. EBITDA is forecast to increase significantly, reaching **$182.65 billion** in 2026E and **$215.81 billion** in 2028E, with margins expanding to **44.8%** by 2028E. EPS is also projected to grow, reaching 8.93 in 2028E.

> In summary, Apple's current valuation reflects its superior profitability and growth prospects compared to peers. The company's premium EV/EBITDA multiple is supported by its strong historical performance and positive outlook. Based on the supplied data, Apple appears fairly valued relative to its sector peers, with its premium justified by its scale, operational excellence, and ongoing earnings growth.

Target Price Derivation

Method	Target Price	Low	High	Weight	Key Assumptions
EV/EBITDA	$263.33	$252.87	$325.15	100%	EBITDA: 182653062900.0; Target Multiple: 21.6; Historical Median Multiple: 21.6
DCF	$102.76	$89.99	$119.46	100%	Base Actual FCF: 98767000000.0; Normalized FCF Margin: 25.8%; Historical FCF Margin Years: [2023, 2024, 2025]
Peer Comparison	$228.17	$167.33	$289.02	100%	Peer Avg Multiple: 18.8; Peer Range: 13.9x - 23.7x; Number of Peers: 2

WEIGHTED TARGET PRICE

$198.09

VALUATION RANGE

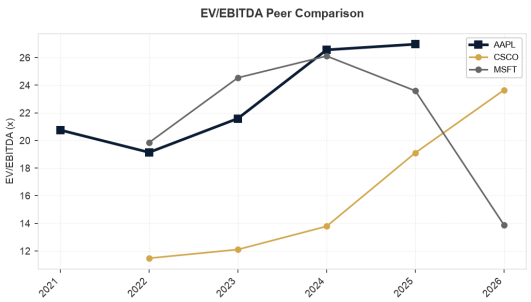
$170.06 - $244.54

IMPLIED DOWNSIDE

41.9%

Peer Comparison

	2021	2022	2023	2024	2025	2026
AAPL	20.8	19.1	21.6	26.6	27.0	-
CSCO	-	11.5	12.1	13.8	19.1	23.7
MSFT	-	19.8	24.5	26.1	23.6	13.9



EV/EBITDA Peer Comparison

Recent News & Events

News Summary

Apple Inc. (AAPL) has recently attracted significant investor attention, with its stock reaching a 52-week high, according to multiple reports dated October 12, 2026. The rally was supported by an analyst upgrade and a positive outlook from JPMorgan Chase & Co., which forecasts strong price appreciation for the stock. Year-to-date, Apple shares have risen **24%**, reflecting robust investor confidence.

Product developments remain central to Apple's momentum. Reports indicate that new versions of the Apple TV and HomePod Mini are expected, which could further strengthen Apple's ecosystem and recurring revenue streams. However, the company is also facing headwinds: Tim Cook reportedly confirmed price hikes for Apple products due to a memory chip crunch, which could impact consumer demand and margins.

Apple's position in the broader tech landscape is underscored by supply chain dynamics. Foxconn, a key Apple supplier, reported record-high revenues driven by AI-related demand, highlighting Apple's integral role in global electronics manufacturing and the ongoing AI hardware cycle.

Despite the positive sentiment, there have been recent bouts of volatility. Apple's stock slipped following its 2026 Worldwide Developers Conference (WWDC) after the company failed to announce a launch deadline for its anticipated Siri AI upgrade, causing some concern among retail investors about the pace of innovation in artificial intelligence.

Valuation is also a topic of discussion. Some analysts note that Apple is trading above fair value based on cash flow estimates, suggesting that expectations for future growth and profitability are already priced in.

Investment implications: Apple continues to benefit from strong brand loyalty, product innovation, and expanding services. However, supply chain pressures, product pricing,

and high valuation levels warrant close monitoring. Investors should weigh the company's growth prospects against these emerging risks.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2026E Revenue Growth: **5.0%**
- 2026E EBITDA Margin: **41.8%**
- 2027E Revenue Growth: **6.0%**
- 2027E EBITDA Margin: **43.3%**
- 2028E Revenue Growth: **4.0%**
- 2028E EBITDA Margin: **44.8%**

Scenario Ranges:

- Revenue: **$409.5B** - **$554.0B** (+/**-15%** around 2028E base forecast)
- EBITDA: **$183.4B** - **$248.2B** (+/**-15%** around 2028E base forecast)

Sensitivity Notes:

- Revenue growth sensitivity: ±**5%** change in growth rate
- Margin sensitivity: ±**2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Scenario Ranges

Revenue	$409.5B — $554.0B (+/-15% around 2028E base)
EBITDA	$183.4B — $248.2B (+/-15% around 2028E base)

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- **Earnings** (2026-10-12): JPMorgan Chase & Co. Forecasts Strong Price Appreciation for Apple (NASDAQ:AAPL) Stock - MarketBeat
- Impact: HIGH
- Source: MarketBeat
- Source: MarketBeat
- **Earnings** (2026-10-12): NVDA, AAPL Stocks In Focus After Foxconn Revenue Hits Record High On AI Pull-In - Stocktwits
- Impact: HIGH
- Source: Stocktwits
- Source: Stocktwits
- **Market** (2026-10-09): AAPL Stock Heads For Worst Single-Day Fall In Over A Year — Wall Street Warns Apple's AI Supply Chain Headwinds Are Far From Over - Stocktwits
- Impact: LOW
- Source: Stocktwits
- Source: Stocktwits

Risk Factors (Downside Risks)

- **Product Launch** (2026-10-11): Apple (NASDAQ: AAPL) stock price forecast: new launches and iPhone demand risks - Beinsure
- Impact: MEDIUM
- Source: Beinsure

Events to Monitor

- Apple WWDC 2026: AAPL Stock Slips As Lack Of Launch Deadline For Siri AI Spooks Retail Investors - Stocktwits (2026-10-12)
- Source: Stocktwits
- AAPL Stock In Focus — Apple, DOJ Discuss Antitrust Settlement As iPhone Maker Seeks To Resolve 2024 Lawsuit - Stocktwits (2026-10-10)
- Source: Stocktwits

- Apple Stock Price Forecast. Should You Buy AAPL? - StockInvest.us (2026-10-09)
- Source: StockInvest.us

Upcoming Catalysts

▲ EARNINGS Impact: medium
JPMorgan Chase & Co. Forecasts Strong Price Appreciation for Apple (NASDAQ:AAPL) Stock - MarketBeat

▲ EARNINGS Impact: medium
NVDA, AAPL Stocks In Focus After Foxconn Revenue Hits Record High On AI Pull-In - Stocktwits

▼ PRODUCT_LAUNCH Impact: medium
Apple (NASDAQ: AAPL) stock price forecast: new launches and iPhone demand risks - Beinsure

▲ MARKET Impact: medium
AAPL Stock Heads For Worst Single-Day Fall In Over A Year — Wall Street Warns Apple's AI Supply Chain Headwinds Are Far From Over - Stocktwits

● PRODUCT_LAUNCH Impact: medium
Apple WWDC 2026: AAPL Stock Slips As Lack Of Launch Deadline For Siri AI Spooks Retail Investors - Stocktwits

Positive Catalysts

✓ JPMorgan Chase & Co. Forecasts Strong Price Appreciation for Apple (NASDAQ:AAPL) Stock - MarketBeat

✓ NVDA, AAPL Stocks In Focus After Foxconn Revenue Hits Record High On AI Pull-In - Stocktwits

✓ AAPL Stock Heads For Worst Single-Day Fall In Over A Year — Wall Street Warns Apple's AI Supply Chain Headwinds Are Far From Over - Stocktwits

Risk Factors

⚠ Apple (NASDAQ: AAPL) stock price forecast: new launches and iPhone demand risks - Beinsure

Technical & Advanced Analysis

Technical Overview — AAPL

Current Price: **$340.97** | 52-Week Range: **$243.42 - $345.34**

Overall Technical Signal: **Neutral**

Moving Averages Bullish

SMA 50: **$323.03** | SMA 200: **$291.09**

RSI Neutral

RSI (14): **51.3** — Neutral zone.

MACD Bearish

MACD: **3.64** | Signal: **3.82** | Histogram: **-0.19**

Volume Normal

Latest: **25.7M** | 20d Avg: **37.1M** | Ratio: **0.69x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AAPL	$123.1B	$133.1B	$129.2B	$134.9B	$144.4B	$182.7B	$150.4B
CSCO	-	$16.8B	$17.5B	$15.7B	$15.3B	$20.0B	$21.1B
MSFT	-	$100.2B	$105.1B	$133.0B	$160.2B	$207.5B	$249.7B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AAPL	20.8	19.1	21.6	26.6	27.0	-
CSCO	-	11.5	12.1	13.8	19.1	23.7
MSFT	-	19.8	24.5	26.1	23.6	13.9

Analysis

Apple Inc. stands out in the consumer electronics and technology sector with a broad product and service portfolio, including flagship devices like the iPhone, Mac, and iPad, as well as a robust ecosystem of wearables, digital content, and subscription-based services. Its multi-

channel distribution strategy and integration of hardware, software, and services have enabled Apple to maintain strong financial performance and brand loyalty.

Comparing Apple to key technology peers Cisco Systems (CSCO) and Microsoft (MSFT), Apple consistently delivers higher EBITDA in the historical period. In 2022A, Apple reported EBITDA of **$133.1 billion**, significantly outpacing Cisco's **$16.8 billion** and Microsoft's **$100.2 billion**. This trend continues through 2025A, with Apple reaching **$144.4 billion** in EBITDA, compared to Cisco's **$15.3 billion** and Microsoft's **$160.2 billion**. While Microsoft surpasses Apple in EBITDA by 2025A, Apple maintains a substantial lead over Cisco.

Apple's historical revenue CAGR from 2021A to 2025A is **3.3%**, reflecting steady growth in a mature market. The company's EBITDA margin has remained robust, increasing from **33.7%** in 2021A to **34.7%** in 2025A, and is forecasted to rise further in subsequent years. Apple's EV/EBITDA multiple has also trended higher than Cisco's, reaching 26.9699 in 2025A versus Cisco's 19.1074, and is comparable to Microsoft's 23.5956 in the same year, indicating strong investor confidence and premium valuation.

> In summary, Apple's scale, profitability, and integrated ecosystem position it as a leader among technology peers. While Microsoft is closing the EBITDA gap, Apple's diversified revenue streams and premium market positioning continue to differentiate it from both Cisco and Microsoft.

Risk Factors

- **Product Concentration Risk:** Apple's revenue is heavily dependent on a limited number of flagship products, such as the iPhone, Mac, and iPad, making the company vulnerable to shifts in consumer preferences or technological disruption affecting these categories.
- **Margin Pressure:** Although Apple's EBITDA margin increased from 33.7% in 2021A to 34.7% in 2025A, any rise in cost of operations or SG&A expenses could negatively impact profitability, especially if revenue growth slows or competition intensifies.
- **Revenue Growth Volatility:** Apple experienced negative revenue growth in 2023A (-2.8%) and relatively modest growth in 2024A (2.0%), highlighting exposure to cyclical demand, macroeconomic factors, or market saturation.
- **High Net Debt Levels:** Despite a reduction from $101.6 billion in 2021A to $76.4 billion in 2025A, Apple maintains significant net debt, which could constrain financial

flexibility in adverse market conditions or during periods of increased investment needs.

- **Regulatory and Platform Risks:** Apple's reliance on the App Store and digital services exposes it to potential regulatory scrutiny and changes in digital platform policies, which could impact service revenues and profitability.

Key Takeaways

Revenue Growth

Apple's revenue grew from **$365.8 billion** in 2021A to **$416.2 billion** in 2025A, representing a historical CAGR of **3.3%** from 2021A to 2025A. Forecasts indicate continued growth, with revenue expected to reach **$481.7 billion** by 2028E.

Gross Profit Margin

Apple's contribution margin (gross profit margin) improved from **41.8%** in 2021A to **46.9%** in 2025A, and is forecast to rise further to **49.9%** by 2028E, reflecting ongoing gains in profitability.

SG&A Expense Margin

SG&A margin increased from **6.0%** in 2021A to **6.7%** in 2024A, then slightly declined to **6.6%** in 2025A. Looking ahead, SG&A margin is forecast to decrease steadily to **5.1%** by 2028E, indicating improving operating efficiency.

EBITDA Margin

EBITDA margin remained stable at around **33.7%–34.7%** from 2021A to 2025A, but is projected to expand significantly to **44.8%** by 2028E, highlighting expectations for enhanced operational leverage and profitability.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	$365.8B	$394.3B	$383.3B	$391.0B	$416.2B
SG&A	$22.0B	$25.1B	$24.9B	$26.1B	$27.6B
Contribution Profit	$152.8B	$170.8B	$169.1B	$180.7B	$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	$123.1B	$133.1B	$129.2B	$134.9B	$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	-	7.8%	-2.8%	2.0%	6.4%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.1	0.9	1.0	0.9	0.9
Operating Cash Flow Ratio	0.83	0.79	0.76	0.67	0.67

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Data: Company Filings, FMP, Yahoo Finance, AI4Finance Estimates · Generated: 2026-10-12 22:23